

May June 20/v11

1-C:

A: After a switch from planned economy to market economy, there will not be a build-up of surplus stock, as the market mechanism clears the surplus, by reducing the prices, which extends quantity demanded and contracts quantity supplied.

B: An increase in exports of goods does not provide a link to composition of output

C: Market economies aim to increase efficiency, and for this purpose, they may substitute labor with capital, by usage of capital-intensive techniques. Coupled with which, there will be a higher degree of unemployment as inefficient workers will be reduced. This is why, this option becomes correct

D: Since now price controls for example, maximum prices will be reduced, prices are likely to rise. This is also because the private sector is motivated with the objective of "profit maximization". This is why, this becomes incorrect

2-C:

A: Normative statements are based on opinions and not description of "economic models"

B: This is incorrect as it is not normative, but positive statements which are objective and factual.

C: This is correct as positive statements can be tested by data and evidence by objective analysis.

D: It is not positive but "normative statements" that are subjective and offer a value judgement

3-C:

The fact that consumers do not use enough of the product because of imperfect knowledge or information failure, represents a category of goods that are "under-consumed".

A - This is incorrect as due to potential information failure and information asymmetry about the true harm these goods present, demerit goods are "over-consumed".

B - This is incorrect as free goods are not under-consumed. Free goods represent those goods that are unlimited in supply, and due to the absence of the basic principle of "scarcity", there is no allocative mechanism for e.g., price mechanism, and also, there is no existence of opportunity cost

C - This is correct as due to lack of information about the true value merit goods present, they are under-realized and under-valued, and this under-estimation leads to underconsumption, thus making this correct.

D - Public goods do not define goods that are "under-consumed". By definition, they are solely provided by the public sector for the objective of social welfare, as due to non-rivalry and non-excludability that gives birth to free rider problem, private sector producers would not be involved in provision.

4-A:

A) Each worker specializes in a different task in production: This option is correct. The division of labor refers to the practice of dividing the production process into specialized tasks and assigning each worker to a specific task based on their skills and expertise.

B) This option is incorrect. The division of labor is not specifically related to the number of hours worked by different workers. It focuses on the specialization of tasks rather than the working hours of individual workers.

C) This option is incorrect. The division of labor does not imply that each worker produces the same amount of output per hour. **Instead, it aims to increase overall productivity by allocating tasks to workers based on their skills and abilities, allowing them to specialize and become more efficient in their respective areas.**

D) This option is incorrect as division of labor specifically refers to the specialization of tasks rather than workers dividing their time between multiple jobs.

5-C:

Option C, "It is the sum of all firms' supply curves for a product," is the correct description of a market supply curve. Here's an explanation for each option:

A) This option is incorrect. The statement describes the market demand curve, which typically slopes downward, representing the inverse relationship between price and quantity demanded. In contrast, the market supply curve is typically upward sloping.

B) It is the same as the aggregate supply curve: This option is incorrect. The aggregate supply curve represents the total supply of all goods and services produced in an economy at different price levels. **The market supply curve, on the other hand, focuses on the supply of a particular product by all firms in the market.**

C) It is the sum of all firms' supply curves for a product: This option is correct. The market supply curve is derived by horizontally summing the individual supply curves of all firms producing a specific product .

D) It is the supply of all products within an economy: This option is incorrect. The market supply curve specifically refers to the supply of a particular product, not all products within the economy.

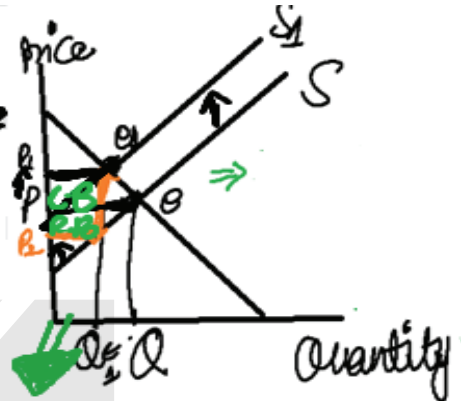
6-D:

6 In the diagram, D is the demand curve for Indian tea exports and S_1 is the supply curve when there is a tax on tea exports.

→ initial CS
→ new CS
Gain in CS:
Trapezium $\rightarrow X+Z$



Removing taxes will increase the supply from S_1 to S_2 .



The Indian government removes the tax, which causes the supply curve to shift to S_2 .

Which areas in the diagram measure the resulting loss in tax revenue to the Indian government and the resulting gain in consumer surplus?

	loss in tax revenue	gain in consumer surplus
A	x	w + y
B	x	x + z
C	x + y	z
D	x + y	x + z

Previously,

$$C \cdot B = X$$

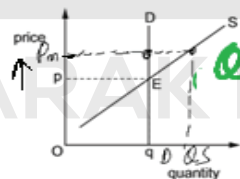
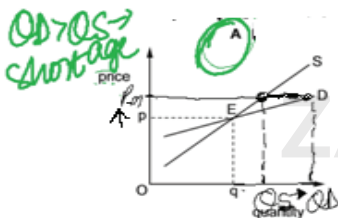
$$P \cdot B = Y$$

$$\text{Total tax revenue} = x + y$$

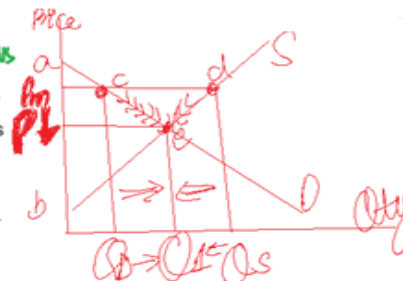
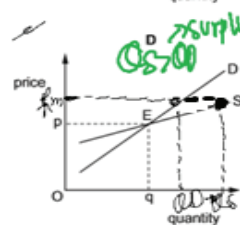
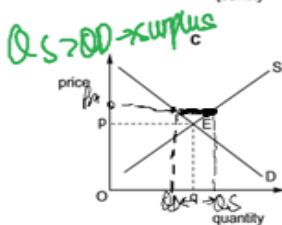
* Tax revenue $\Rightarrow$ consumer burden + producer burden

7-A:

7 In which market would equilibrium not be achieved at point E if price were above Op ?

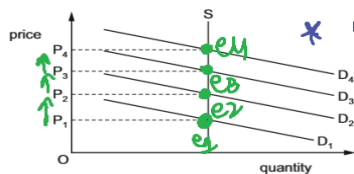


Equilibrium would not be achieved if there is a shortage above equilibrium



For equilibrium to be achieved, there must be a surplus above the equilibrium, as this way, prices will fall, which will lead to an extension in qty demanded and a contraction in qty supplied, leading to restoration of equilibrium.

8-D:



Price mechanism is when prices are determined by the market forces of demand and supply where prices provide a signal to the producer to allocate scarce resources among competing uses in a profit maximizing manner.

A and B: They cannot be the answer as in case of price mechanism, prices vary according to the changes in demand and supply conditions in the market and prices are never fixed in this case. Price fixing refers to 'price-control', that is alternative to price mechanism.

C: P2 and P3 refers to the equilibrium prices on day 2 and day 3, this cannot be the answer as there is a separate demand on all four days, thus prices should be varied between the equilibrium prices on all four days.

D: P1, P2, P3 and P4 that is prices between P1 and P4 refer to the equilibrium prices on all four days, therefore the car parking fee should be varied between P1 and P4.

9-D:

So basically, imposition of indirect tax, after having reduced supply, and creating shortages when leads to a rise in the prices of goods, leads to a **"fall in consumer surplus"**

So, in order for the consumer surplus to remain unchanged, we need an option that leads to a rise in "consumer surplus"

A-When new substitutes are developed for the product, this represents a fall in "demand for the product", and when because of this, willingness to pay decreases, this leads to a fall in consumer surplus. Additionally, because of a rise in the costs of production, when supply reduces and in turn prices rise, this leads to a fall in "consumer surplus"

The net effect is that "consumer surplus falls"

B-When some producers merge, this leads to supply being restricted, and due to elimination of competition, the monopolies formed, raise prices by a higher percentage, realizing that the demand for the products they sell is inelastic. This reduces consumer surplus too.

C-In case of a good being an inferior good, a rise in consumer incomes leads to a fall in the demand for the good, and a resultant fall in willingness to pay higher prices leads to a fall in consumer surplus. Additionally, upon a rise in production costs, the supply reduces, subsequently leading to an upward pressure on prices due to shortages, again causing a fall in consumer surplus.

D-When consumers incomes rise, the demand for normal goods rise, and when willingness to pay higher prices decreases, the consumer surplus rises. Importantly, a fall in the costs of production results in a rise in supply and in turn a fall in prices, leading to a rise in consumer surplus. This means that a fall in C.S due to indirect taxes will be offset by a rise in C.S due to this option, thus making this correct.

10-B:

A) Decrease the amount of labor that it employs: This option is incorrect. Reducing the amount of labor employed by the firm is more likely to lead to a fall in output ,and when output falls, supply becomes inelastic in response to changes in demand.

B) Employ new technology to increase its productive capacity: This option is correct. By adopting new technology, a firm can enhance its production capacity and efficiency. This can lead to an increase in the quantity supplied in response to changes in price, making the supply curve more elastic.

C) Increase advertising expenditure to generate more revenue: This option is incorrect, as it does not link with output.

D) Reduce the level of stocks to cut costs: This option is incorrect. While reducing the level of stocks can help a firm cut costs ,it will reduce the ability of a firm to produce output if stocks of raw materials are not kept in optimum quantities, making supply more “ inelastic” in response to changes in demand.

11-B:

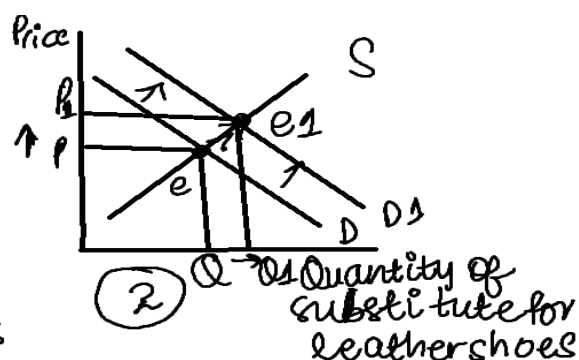
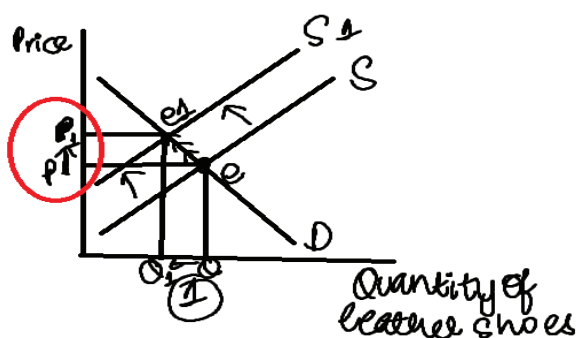
A:Because of a rise in price of leather , the demand for leather shoes will not shift to the left , instead the supply curve will be shifting to the left since the cost of production has now increased.

B:Because of a rise in price of leather, the costs of production of leather producers will increase, which will result in a leftward shift in the supply curve of leather shoes ,as a result of which, the prices of leather shoes will increase.

This will lead to an increase in demand or a rightward shift in the demand curve for substitute to leather shoes, as consumers would now switch to them since they now appear relatively cheaper, this will be because of a positive relationship between the price of one good and the demand for another in case of substitutes, thus making this correct .This can be seen in the diagrams drawn below too.

C: C: Since the costs of production of producers of leather shoes increase, the supply of leather shoes would decrease instead of increasing, thus making this option incorrect.

D: Since the price of leather increases ,the demand curve for substitute to leather will shift to right, instead of a rise in its supply, thus making this incorrect



12-D:

A – OX represents the equilibrium price instead. It is OZ that represents the minimum price the producer is willing to accept.

B – OZ represents the minimum price the producer is willing to accept.

C_ This is incorrect as PYZ represents “**consumer surplus + producer surplus**”. Consumer surplus is shown through the area below the demand curve, and above the market price, which in this case is “PXY”

D: This is correct as XYZ does represent the total producer surplus, since it represents the area above the supply curve and below the market price.

13-D:

The value of the good’s PED is greater than 1, representing “elastic demand”

A - In this case, if a producer increases prices, there will be a contraction in qty demanded by a relatively higher percentage, leading to a fall in Total Revenues of the producer, which will also result in a fall in profits.

B and C: These are general statements, not specifically associated with “elastic demand”

D: In this case, a producer after having realized that the consumer surplus is very less, will decrease prices by a relatively smaller percentage of 10%, which will bring about an extension in qty demanded by a relatively higher percentage of 50%, leading to a rise in Total Revenues.

14-B:

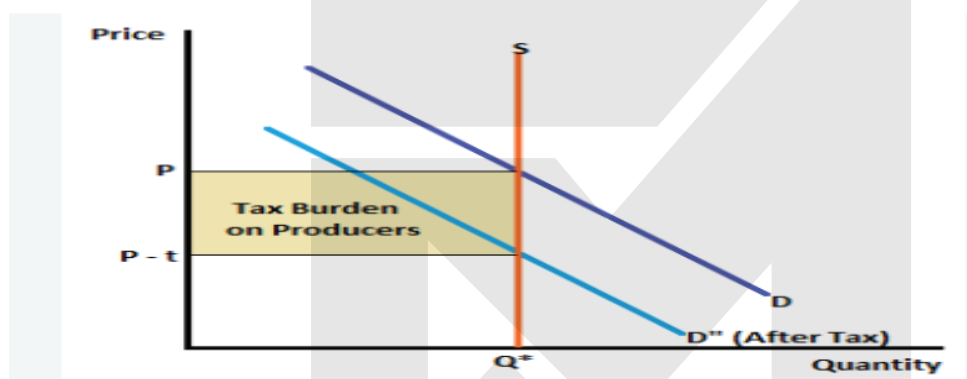
The question represents a scenario of perfectly inelastic supply, whereby $PES = 0$.

A -The burden of the tax will entirely fall on consumers when $PED=0$, representing “ perfectly inelastic demand”

B -This is correct that the burden will fall completely on the producer when supply is perfectly inelastic. This can be seen in the diagram below.

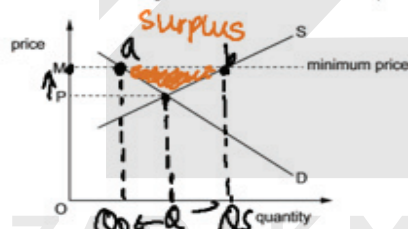
C - This is incorrect as the burden of tax mainly falls on consumers when PED is inelastic, and PES is elastic

D- The burden of tax falls mainly on producers when PED is elastic, and PES is inelastic.



15-A:

15 The diagram shows a market where a government has set a minimum price of OM



A – If the minimum price is imposed above the equilibrium, this will lead to an extension in qty supplied, and a contraction in qty demanded, resulting in a surplus of the good, thus making this correct.

B _ This is incorrect as shortage would have occurred when maximum price would have been imposed below the equilibrium.

C _ No, an effective price control , namely minimum price is established, this means that prices won't automatically fall from OM TO OP.

D- No, it would have been ineffective, if it was imposed below the equilibrium.

16-A:

So basically, we have to provide disadvantages of privatization of “rail and bus services” since we are speaking from the perspective of those who favor nationalized services.

A-This is a disadvantage that the frequency and accessibility of public transport services will be reduced, since the private sector will only serve destinations that are “profitable”, thus making this correct.

B-This is incorrect as due to the profit motive associated with privatization, there will be higher prices charged.

C-This is incorrect as there would not be frequent services to all destinations. Only those destinations that have a higher profit potential will be served.

D-After privatization, there may be less workers employed in transport services, as the inefficient ones will be laid off.

17-D:

A). A transfer payment does not necessarily have to involve a cash payment. Transfer payments refer to the transfer of money or resources from one party to another without any productive activity or exchange of goods or services.

B) While the teenager pays the cheque into her savings account at the bank, the transfer of money between bank accounts is not the characteristic of a transfer payment. **Transfer payments typically involve the transfer of funds from one individual or entity to another, without the expectation of receiving goods or services in return.**

C) This option is incorrect. The spending behavior of the parents is not the determining factor for categorizing the gift as a transfer payment.

D)This option is correct. Transfer payments are typically characterized by the absence of any production or exchange of goods or services. In this scenario, the teenager receiving the cheque as a birthday gift did not engage in any productive activity or provide any output in return for the transfer of funds

18-C:

A: Due to free rider problem ,there is no mechanism to charge prices for “public goods”, thus making this incorrect.

B:The opportunity cost of producing them would never be zero, as this will reduce the funds available by govt to spend on for example: road development.

C: They are “non-excludable” as payment by one individual does not restrict others from consuming them as even the non-tax payers get to consume them

D: Necessity goods for example: certain medicines or food items are classified as private goods, since prices can be attached to them.

19-C:

A) Changes in a country's level of labor productivity can have an impact on its terms of trade. Higher labor productivity can lead to increased efficiency and competitiveness, which can reduce prices of exported goods, **leading to TOT being worsened.**

B) Changes in the rate of inflation can influence a country's terms of trade. If a country experiences higher inflation relative to its trading partners, its exported goods become relatively more expensive, **which can positively affect the terms of trade.**

C) **The terms of trade refer to the ratio of export prices to the ratio of import prices. A stable exchange rate represents stable prices of imports and exports, leading to terms of trade being unaffected ,making it correct.**

D). Random supply shocks, such as natural disasters or disruptions in production, can impact the terms of trade. For example, if a country experiences a supply shock that reduces its ability to produce certain goods, there may be a shortage , subsequently leading to a rise in the price of export-oriented goods

.20-A:

We are interested in an option that does not cause a rightward shift in the Aggregate demand curve.

A: When government spending is reduced ,this leads to a reduction in net injections into the circular flow, and a reduction in rolling of money represents a fall in “Aggregate demand”, thus making it correct.

B: When credit facilities are eased to enable an increase in consumption of consumer goods, a rise in consumption expenditure leads to a rise in Aggregate demand.

C: An increase in export revenues represents injections in to the circular flow, leading to a rise in Aggregate demand.

D: An increase in investments also represents injections into the circular flow ,leading to a rise in Aggregate demand.

21-B:

A fall in income taxes lead to a rise in disposable incomes, leading to an increase in purchasing powers and consumer confidence leading to a rise in consumption expenditure, and in turn Aggregate demand.

Similarly, a rise in net exports that represents a Balance of Trade surplus , that is when export revenues are greater than import expenditures, represents net injections into the circular flow, leading to a rise in Aggregate demand.

When Aggregate demand rises relative to Aggregate supply, there are shortages and consequently a rise in Aggregate price level, representing demand pull inflation. And since this provides a signal to the producers to expand their scale of production, this leads to a further rise in demand for labour,leading to employment. This multiplier effect in terms of a rise in real incomes ,**output** and employment occurs.

This is why B becomes correct.

22-B:

$$\text{Country X} \rightarrow 50\% \times 110\% \Rightarrow 0.55$$

$$\text{Country Y} \Rightarrow 30\% \times 90\% \Rightarrow 0.27$$

$$\text{Country Z} \Rightarrow 20\% \times 100\% \Rightarrow 0.20$$

$$\text{The new trade weighted exchange rate will be } (100 \times 1.02) \Rightarrow 102$$

23-B:

23 The table shows the goods balance and services balance for a country in selected years.

year	goods balance (\$ billion)	services balance (\$ billion)
2015	+120	+ (-30)
2016	+110	+ (-30)
2017	+50	+ (-10)
2018	+130	+ (-60)
2019	+140	+ (-50)

Balance of Trade $\Rightarrow$ goods balance + services balance.

2015: 90
 2016: 80 $\downarrow$ decreased by 10
 2017: 40 $\downarrow$ decreased by 40 + highest change $\rightarrow$ 2016-2017
 2018: 70 $\uparrow$ increased by 30
 2019: 90 $\uparrow$ increased by 20

Between which years did the overall goods and services balance change the most?

- A 2015 to 2016
- ☒ B 2016 to 2017
- C 2017 to 2018
- D 2018 to 2019

24-B:

A) Export subsidies: This option is incorrect. Export subsidies **are also known as "protectionist subsidies"**, which involve providing financial incentives or support to domestic producers to promote exports. They can be considered a form of protectionism because they give domestic producers a competitive advantage, **which leads to import substitution, and a contraction in qty demanded of imports.**

B) Import subsidies: This option is correct. Import subsidies are not an example of protectionism. Import subsidies involve providing financial assistance or incentives to domestic buyers of imports to reduce the costs of importing goods. They are typically used to lower the costs of imported goods for domestic consumers or businesses, thus promoting imports rather than restricting them.

C) Quotas: This option is incorrect. Quotas are a form of protectionism. They impose limits or restrictions on the quantity of goods that can be imported into a country. Quotas aim to restrict imports and protect domestic industries from foreign competition.

D) Tariffs: This option is incorrect. Tariffs are another form of protectionism. They are taxes or duties imposed on imported goods, making them more expensive and less competitive compared to domestically produced goods. Tariffs increase the cost of imports, providing a level of protection to domestic industries by making foreign goods relatively more expensive.

25-C:

A – Increasing taxes, and reducing government spending represents “contractionary fiscal policy”, that is an expenditure dampening policy.

B _ Again, an increase in direct taxes represents “contractionary fiscal policy” , that is an expenditure dampening policy.

C _ Expenditure switching policies aim to switch the expenditure of domestic residents from imported goods to domestically manufactured goods, an example of which, is tariff, thus making this correct.

D_ Increasing interest rates is a contractionary monetary policy, which is an expenditure dampening policy.

26-C:

A: Higher subsidies and higher indirect taxes: This option is incorrect. Higher subsidies would typically reduce costs and increase Aggregate Supply, while higher indirect taxes would generally lead to a rise in costs of production, leading to a fall in Aggregate supply. **The net impact on Aggregate supply will be uncertain.**

B) Higher subsidies and lower indirect taxes: This option is incorrect. Higher subsidies would typically reduce costs and increase Aggregate Supply, while lower indirect taxes would decrease costs of production, causing a rise in AS. **The net effect will be a rise in AS.**

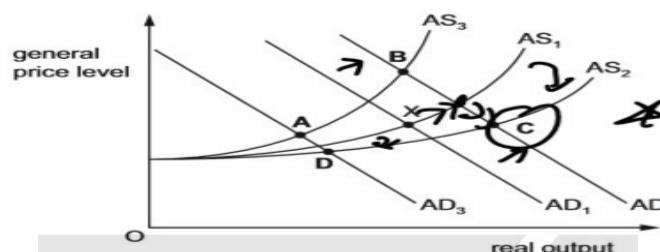
C) Lower subsidies and higher indirect taxes: This option is correct. Lower subsidies would increase the costs of production and could result in a decrease in Aggregate Supply , while higher indirect taxes would generally lead to a rise in costs of production, leading to a fall in Aggregate supply. **The net impact will be a fall in AS.**

D) Lower subsidies and lower indirect taxes: Lower subsidies would increase the costs of production and could result in a decrease in Aggregate Supply, while lower indirect taxes would decrease costs of production, causing a rise in AS. **The net effect will be that AS will remain uncertain.**

27-C:

- 27 In its recent budget a government increased defence expenditure and also the amount spent on training that increased the productivity of the workforce. The initial equilibrium point is shown by X on the aggregate demand (AD) and aggregate supply (AS) diagram.

What would be the equilibrium point after these changes?



* government spending ↑
 * AD ↑
 * productivity of work force increases, which reduces costs, leading to an increase in AS

28-B:

No other option but B can be correct because a fall in exchange rate in floating exchange rate system is known as 'depreciation'. Whereas, a rise in fixed ER system is known as "revaluation".

29-D:

Rise in Consumption: When direct taxes on consumers are reduced, individuals have more disposable income available for spending. This increase in disposable income encourages higher consumption levels as people have more money to spend on goods and services. The rise in consumption can have a positive impact on businesses, leading to increased sales and production levels.

Rise in Investment: Lowering direct taxes on businesses (corporation taxes) increases their after-tax profits. This provides businesses with more financial resources that can be used for investment purposes. With increased investment, businesses can expand their operations, purchase new equipment, develop new products, or improve their existing infrastructure.

Increase in National Output: The combined effects of a rise in consumption and a rise in investment result in a rise in Aggregate demand, leading overall increase in national output, or Gross Domestic Product (GDP). As consumers spend more, businesses experience higher demand for their products and services. This increased demand leads

to an expansion of production activities to meet consumer needs, which in turn raises national output.

30-A:

A: A significant fall in unemployment would have led to shortages of labor and in turn a rise in wage costs, and in turn a fall in Aggregate supply, leading to “cost push inflation”.

But since, **there is a rise in competition, competitive pressures mean that, firms would absorb most of the burden of rising costs themselves, rather than passing it to consumers in form of higher prices, reducing the possibility of “cost push inflation”**

B: Increased spending on imports leads to a rise in “import expenditures”, which may increase the costs of production of producers, leading to a leftward shift in the Aggregate supply curve, contributing to cost push inflation.

C: If there is a low level of spare capacity, representing that deflationary gap is non-existent, means that a falling unemployment when leads to a rise in consumption expenditure, results in Aggregate demand being greater than Aggregate Supply, which leads to shortages, and in turn rise in general price level, representing “demand push inflation”

D: If wage rates rise faster than productivity, this will lead to a rise in costs and in turn a fall in Aggregate supply, leading to shortages, and in turn a rise in general price level, representing “cost push inflation”

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